

# Snowflake Inc. (NYSE: SNOW)

## EARNINGS UPDATE — Q2 FY2027 (quarter ended July 31, 2026)

Reported September 2, 2026 | Prepared September 3, 2026

**KNOWLEDGE BASE LIMITATION — READ FIRST.** The research library contained only one prior extract plus a URL index; the previously noted "nine quarters of primary material" was not present. This report is built on three earnings releases read in full from SEC EDGAR (Q4 FY2026, Q1 FY2027, Q2 FY2027) plus their embedded prior-year comparatives, and two Item 5.02 8-Ks. That is below the 8-quarter minimum. No earnings-call transcripts, prepared remarks, or investor presentations were available, so narrative and credibility analysis rests on written releases only. The Form 10-Q for the quarter ended July 31, 2026 had NOT been filed as of September 3, 2026 — no updated Risk Factors, segment detail, cRPO split, or purchase-price allocation. Consensus estimates were not retrieved; all "vs. consensus" cells are marked n/a.

## SECTION 1 — EXECUTIVE SNAPSHOT

**THESIS STATUS: MONITORING** | **CONVICTION:** Modestly higher on operating execution; a new flag raised on backlog quality and per-share dilution.

### BIGGEST CHANGES THIS QUARTER

- Third consecutive quarter of product revenue acceleration — 30% - 34% - 37% YoY. Q2 product revenue of \$1,491.9M came in \$71.9M above the high end of guidance.
- FY2027 product revenue guidance raised to \$6,070M (+36%) from \$5,840M (+31%) — a \$230M raise against a ~\$74M quarterly beat, so ~\$155M is a genuine forward raise.
- RPO growth decelerated 42% - 38% - 30% over the same three quarters, and RPO fell sequentially for a second time to \$9.00B — \$770M below the Q4 FY2026 peak.
- FY2027 non-GAAP product gross margin guidance LOWERED 100bps to 74.0% — the only guided metric cut — while operating margin guidance was RAISED 100bps to 14.5%.
- Two new forward-looking risk factors added, neither present in the Q1 FY2027 release: reducing stock-based compensation as a percentage of revenue, and achieving GAAP profitability.
- The aggregate "accounts using Snowflake AI capabilities" metric (13,600 in Q1) was dropped, replaced by two narrower branded counts (CoCo 9,100; CoWork 5,800).

### INVESTOR TAKEAWAY

*The operating engine is improving where it is hardest to fake — non-GAAP operating margin rose 420bps YoY on real opex leverage, not reclassification — but this quarter's growth was drawn out of contracted backlog rather than replenished into it, and management newly named the stock-compensation wedge as a risk, so long-term compounding potential holds rather than improves.*

### WHAT TO MONITOR NEXT QUARTER

- Q2 FY2027 Form 10-Q (expected on or about September 8, 2026): current vs. non-current RPO split and updated Risk Factors.
- Whether RPO returns to sequential growth in Q3, or posts a third consecutive decline.
- Non-GAAP product gross margin against the lowered 74.0% full-year guide — whether AI mix cost stabilizes.

## SECTION 2 — KEY CHANGES THIS QUARTER

## What management emphasized MORE

| Theme                                          | Why it matters                                                                                                                                                                                                                                                                                                                                   |
|------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>AI revenue as a distinct contributor</b>    | The CFO for the first time attributes growth to "a meaningful step-up in AI revenue" as a driver separate from the core platform. Prior quarters framed AI as a tailwind to core consumption. AI is now large enough to be discussed as its own line — which creates an expectation of eventual quantified disclosure that has not yet been met. |
| <b>Margin discipline alongside growth</b>      | "we delivered this accelerating growth while expanding operating margin"; "Balancing growth with discipline remains a top priority." Non-GAAP operating margin went 11.1% - 15.3% YoY. The growth-versus-profitability tradeoff is being claimed as resolved.                                                                                    |
| <b>Agentic framing and branded AI products</b> | "The Agentic Enterprise runs on Snowflake." CoCo and CoWork are given named account counts. Product identity is consolidating around two branded agents, re-basing the moat narrative from warehouse performance onto AI control-plane governance.                                                                                               |
| <b>Product velocity as a quantified KPI</b>    | "over 330 product capabilities to GA in H1 FY2027, up 35% YoY" — Q1 gave only a vague "over 20% more." A newly precise cadence metric, useful but not revenue-linked.                                                                                                                                                                            |

## What management emphasized LESS or stopped discussing

| Theme                                      | Why it matters                                                                                                                                                                                                                                                                                              |
|--------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Aggregate AI account penetration</b>    | The "more than 13,600 accounts using Snowflake AI capabilities" figure from Q1 is absent in Q2. The broadest measure of AI adoption disappeared in the very quarter AI was declared the growth driver, replaced by two narrower branded counts. This removes the cleanest cross-quarter AI adoption series. |
| <b>RPO as a headline achievement</b>       | The Q4 FY2026 CEO quote led with RPO up 42%. In Q2 FY2027 RPO is listed fifth in the highlights and neither executive quote mentions it. RPO growth had fallen to 30%.                                                                                                                                      |
| <b>Named partnership expansion</b>         | Q1 highlighted a \$6B multi-year AWS agreement, a deepened OpenAI partnership, and SAP reaching GA. Q2 names no partnership expansion — while partnership execution risk remains on the risk list.                                                                                                          |
| <b>Customers above the \$10M threshold</b> | Q4 FY2026 cited "a record number exceeding \$10 million." Not repeated in Q1 or Q2. The upper tail of customer economics is no longer being disclosed.                                                                                                                                                      |

## KPIs that became more or less important

| KPI                                             | Direction                                                  | Signal                                                                                                                                                                                              |
|-------------------------------------------------|------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>AI product account counts (CoCo, CoWork)</b> | More important                                             | Now the primary AI adoption evidence — but 4-week averages, on-demand-inclusive, internally classified, and renamed mid-series. Low comparability for a metric carrying this much narrative weight. |
| <b>Remaining performance obligations</b>        | Less emphasized by management; more important to investors | The divergence from revenue growth is the central analytical tension of the quarter.                                                                                                                |
| <b>Non-GAAP product gross margin</b>            | More important                                             | The only guided metric lowered. This is where AI mix cost appears first.                                                                                                                            |
| <b>Aggregate AI accounts</b>                    | Discontinued                                               | Loss of the broadest AI adoption series at the moment it mattered most.                                                                                                                             |
| <b>Customers above \$10M TTM</b>                | Discontinued                                               | Removes visibility into whether the largest accounts are still expanding.                                                                                                                           |

## Risks that increased or decreased

| Risk                                  | Direction   | Implication                                                                                                                                          |
|---------------------------------------|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>SBC as a percentage of revenue</b> | New         | Named for the first time. \$456.4M, or 29.5% of revenue, in Q2.                                                                                      |
| <b>GAAP profitability</b>             | New         | Named for the first time. The GAAP-to-non-GAAP operating wedge is \$500.0M.                                                                          |
| <b>AI consumption optimization</b>    | Intensified | "optimize consumption" extended to "including with respect to AI features" — conceding AI demand decays under efficiency pressure like core compute. |
| <b>Product gross margin / AI cost</b> | Intensified | Made explicit through the 100bps guidance cut rather than through risk language.                                                                     |

| Risk          | Direction | Implication                                                                                                  |
|---------------|-----------|--------------------------------------------------------------------------------------------------------------|
| Risks removed | None      | No risk factor was removed between Q1 and Q2 FY2027. The enumerations are otherwise word-for-word identical. |

→ No risk factor was removed. Every change between Q1 and Q2 FY2027 was an addition.

## SECTION 3 — KPI DASHBOARD

Facts only. Interpretation appears in Sections 4 through 7.

| Metric                            | Q2 FY2027  | Q1 FY2027      | Q2 FY2026   | YoY Flag         | Trend                                              |
|-----------------------------------|------------|----------------|-------------|------------------|----------------------------------------------------|
| Product revenue                   | \$1,491.9M | \$1,334.3M     | \$1,090.5M  | [YoY+] +37%      | Accelerating (30/34/37%)                           |
| Total revenue                     | \$1,546.8M | \$1,391.0M     | \$1,145.0M  | [YoY+] +35%      | Accelerating                                       |
| Remaining perf. obligations       | \$9.00B    | \$9.21B        | \$6.92B (d) | [YoY+] +30%      | Growth decelerating 42/38/30%;<br>2nd seq. decline |
| Net revenue retention             | 126%       | 126%           | n/r         | [YoY?]           | Flat QoQ; 125% in Q4 FY2026                        |
| Customers >\$1M TTM product rev   | 828        | 779            | 652 (d)     | [YoY+] +27%      | Growth rate 27/29/27%                              |
| Forbes Global 2000 customers      | 829        | 813            | n/r         | [YoY?]           | +16 QoQ                                            |
| Net new customers added           | 692        | 616            | 524 (d)     | [YoY+] +32%      | Add-rate growth decelerating<br>40/38/32%          |
| GAAP product gross margin         | 70.9%      | n/r            | 72.3%       | [YoY-] -140bps   | Declining                                          |
| Non-GAAP product gross margin     | 74.7%      | n/r            | 76.4%       | [YoY-] -180bps   | Declining                                          |
| GAAP operating margin             | (17.0)%    | n/r            | (29.7)%     | [YoY+] +1,270bps | Improving                                          |
| Non-GAAP operating margin         | 15.3%      | n/r            | 11.1%       | [YoY+] +420bps   | Improving                                          |
| SBC-related charges               | \$456.4M   | n/r            | \$436.2M    | [YoY] +4.6%      | Up in dollars                                      |
| SBC as % of revenue               | 29.5%      | n/r            | 38.1%       | [YoY+] -860bps   | Improving by dilution, not<br>reduction            |
| GAAP net loss                     | \$(191.7)M | \$(295.6)M (d) | \$(297.9)M  | [YoY+]           | Narrowing                                          |
| Non-GAAP diluted EPS              | \$0.62     | \$0.40 (d)     | \$0.35      | [YoY+] +77%      | Improving                                          |
| Net cash from operations          | \$91.4M    | \$243.2M (d)   | \$74.9M     | [YoY+] +22%      | Q4-weighted seasonality                            |
| Adjusted free cash flow           | \$92.3M    | \$265.5M (d)   | \$67.8M     | [YoY+] +36%      | Q4-weighted seasonality                            |
| Adjusted FCF margin               | 6.0%       | 19.1% (d)      | 5.9%        | [YoY~]           | Seasonal; H1 = 12.2%                               |
| Wtd-avg shares (GAAP, basic/dil.) | 349.3M     | 345.5M (d)     | 335.2M      | [YoY-] +4.2%     | Net dilution                                       |

(d) = derived by the analyst, not disclosed directly in the release. Quarterly figures derived by subtracting the reported Q2 column from the reported six-month column; prior-year RPO and customer counts derived from the disclosed YoY growth rates. n/r = not reported in that quarter's release. Q1 FY2027 margin and SBC lines are marked n/r because the Q1 release's own reconciliation was not re-derived here. Facts only in this section; interpretation appears in Sections 4-7.

## SECTION 4 — GUIDANCE ANALYSIS

| Metric                    | Guidance                      | vs. Prior                   | Cons. | Management explanation                                                   | Analyst read                                                                                                           |
|---------------------------|-------------------------------|-----------------------------|-------|--------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|
| FY2027 product revenue    | \$6,070M (+36%)               | RAISED from \$5,840M (+31%) | n/a   | "strong momentum across both our core platform business and AI business" | The \$230M raise exceeds the ~\$74M quarterly beat by ~\$155M. This is a genuine forward raise, not beat flow-through. |
| Q3 FY2027 product revenue | \$1,588M - \$1,593M (+37-38%) | New                         | n/a   | Not separately explained                                                 | A \$5M range on a \$1.6B quarter is an unusually tight visibility claim for a consumption model.                       |

| Metric                                      | Guidance | vs. Prior          | Cons. | Management explanation                                                   | Analyst read                                                                                                                                      |
|---------------------------------------------|----------|--------------------|-------|--------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>FY2027 non-GAAP product gross margin</b> | 74.0%    | LOWERED from 75.0% | n/a   | Not explained in the release                                             | The only metric cut, and it went unexplained. AI workloads carry higher infrastructure cost — a structural mix effect, not a one-off.             |
| <b>FY2027 non-GAAP operating margin</b>     | 14.5%    | RAISED from 13.5%  | n/a   | "we delivered this accelerating growth while expanding operating margin" | Opex leverage more than offsets the gross margin cut. Non-GAAP opex fell from 62% to 57% of revenue YoY.                                          |
| <b>FY2027 adjusted FCF margin</b>           | 23.0%    | MAINTAINED         | n/a   | Not addressed                                                            | Looks demanding against H1's 12.2% but is not: H1 FY2026 was also 23% of that year's full-year adjusted FCF. Consistent with normal Q4 weighting. |
| <b>FY2027 non-GAAP diluted shares</b>       | 380M     | RAISED from 376M   | n/a   | Not explained                                                            | +4M shares (~1.1%), consistent with equity-funded M&A.; A guided increase in share count is a real per-share cost.                                |

Five of six guided metrics moved favorably or held; the single cut is gross margin. Management is accepting a structurally lower gross margin in exchange for faster AI-led growth and covering it with operating leverage — a deliberate trade, though the release never explains the cut. One caution embedded in the raise: the full-year guide and the Q3 range together imply Q4 product revenue of roughly \$1,653M, about +34% YoY (derived, against the rounded \$1.23B Q4 FY2026 base) — so the raised guidance still assumes deceleration from the 37-38% guided for Q3.

Accounting and comparability. One reporting change is disclosed: "Beginning with the fourth quarter of fiscal 2026, the Company no longer attributes a portion of non-GAAP net income to noncontrolling interest as it no longer controls a majority-owned subsidiary." This affects comparability of per-share metrics against periods before Q4 FY2026, though the company states noncontrolling amounts were "zero or not material for all periods presented" — so the effect is presentational. Separately, the large H1 declines in deferred revenue (\$3,347.0M to \$2,568.5M) and accounts receivable (\$1,303.7M to \$718.5M) are the January fiscal-year-end billings peak unwinding, not deterioration. Underlying economic performance: genuinely improving, driven by operating leverage on real revenue growth rather than by reclassification.

→ *Underlying economic performance: genuinely improving.*

## SECTION 5 — STRATEGIC / MOAT EVOLUTION

| Dimension                      | Condition                    | Direction                   | Key observations                                                                                                                                   | Investment implication                                                                                                                                                                   |
|--------------------------------|------------------------------|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Pricing power</b>           | Moderate, under pressure     | Weakening at the gross line | Non-GAAP product gross margin 76.4% to 74.7% YoY; FY guide cut to 74.0%. AI credit pricing and adaptive warehouses named as consumption-affecting. | AI revenue arrives at a structurally lower gross margin. A rising AI mix mechanically lowers blended gross margin even with flawless execution. Model 73-75%, not the historical 76-78%. |
| <b>Competitive positioning</b> | Strong but contested         | Stable to improving         | 37% product revenue growth at a ~\$6B run-rate; 828 customers above \$1M. Competition risk language reframed around AI-driven disruption.          | Share gains are real, but the company itself now describes the market as being disrupted by AI. A strong position sits on a shifting basis of competition.                               |
| <b>Switching costs</b>         | High                         | Stable                      | NRR 126%, up from 125% in Q4 FY2026. Cortex Sense and Cortex AI Gateway extend governance to agent actions, not just data.                         | Data gravity plus governance over what agents are permitted to do is the most durable part of the moat.                                                                                  |
| <b>Operating leverage</b>      | Strong                       | Improving — structural      | Non-GAAP opex 62% to 57% of revenue YoY; S&M; 34% to 32%, R&D; 22% to 20%. Non-GAAP operating margin 11.1% to 15.3%.                               | Structural rather than cyclical: revenue is outgrowing headcount cost. This is the strongest genuine positive in the print.                                                              |
| <b>Capital intensity</b>       | Low but rising in a new form | Slightly increasing         | Capex only \$7.6M in Q2 (0.5% of revenue), but H1 goodwill +\$444.6M and intangibles +\$179.6M from M&A; against \$254.4M of cash paid.            | Asset-light operationally; capital now flows into acquisitions rather than PP&E.; The return question is about M&A.; not capex.                                                          |

| Dimension              | Condition             | Direction                    | Key observations                                                                                                        | Investment implication                                                                                                                                   |
|------------------------|-----------------------|------------------------------|-------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Moat durability</b> | Solid, being re-based | Stable with a new dependency | The moat narrative has shifted from warehouse performance to being the governed control plane for enterprise AI agents. | If the agentic thesis holds, durability improves. If agents commoditize, the re-based moat is less defensible than the original data-warehouse position. |

Over a 5-10 year horizon the engine is improving where it is hardest to fake — operating leverage — and eroding where AI is most expensive: gross margin. The decisive question is whether Snowflake ends up owning the governance layer for enterprise AI, which is durable and high-value, or renting compute to agents at a declining spread.

## SECTION 6 — MAJOR RISKS & CHANGES

| Risk                                  | Prior status                | Current status                             | Direction                  | Investor implication                                                                                                                      |
|---------------------------------------|-----------------------------|--------------------------------------------|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| <b>SBC as % of revenue</b>            | Not a named risk            | NEW named risk                             | Up (new)                   | \$456.4M, 29.5% of revenue. The ratio is improving only because revenue is outrunning SBC dollars, which still grew 4.6%.                 |
| <b>GAAP profitability</b>             | Not a named risk            | NEW named risk                             | Up (new)                   | \$500.0M GAAP-to-non-GAAP operating wedge. The company has never reported a GAAP operating profit.                                        |
| <b>AI consumption optimization</b>    | "optimize consumption"      | "...including with respect to AI features" | Intensified                | Undercuts the framing of AI as purely incremental demand. AI spend is now conceded to face the same efficiency decay as core compute.     |
| <b>Product gross margin / AI cost</b> | Implicit                    | Explicit via guidance cut                  | Intensified                | Signalled through numbers rather than language — the only guided metric lowered.                                                          |
| <b>Backlog quality (RPO)</b>          | Not framed as a risk        | Still not framed as a risk                 | Intensified (analyst view) | Management has not addressed the RPO/revenue divergence in two consecutive releases.                                                      |
| <b>Related-party M&amp;A;</b>         | Observe closed Feb 2026     | Consideration still not public in an 8-K   | Stable, unresolved         | A sitting Snowflake director was the target's CEO. Cleansed by a special committee and the Audit Committee, but terms remain undisclosed. |
| <b>Competition</b>                    | AI-driven market disruption | Identical language                         | Stable                     | No change between Q1 and Q2 FY2027.                                                                                                       |

### Is accelerating growth being bought with margin?

**Investor concern:** 37% growth alongside a gross margin guidance cut suggests growth may be purchased rather than earned.

**Management response:** "Importantly, we delivered this accelerating growth while expanding operating margin."

**Supporting evidence:** Management is right at the operating line and the concern is right at the gross line — both are true. Non-GAAP operating margin rose 420bps YoY to 15.3% and the FY guide was raised to 14.5%; meanwhile non-GAAP product gross margin fell ~180bps YoY and the FY guide was cut 100bps. Verdict: growth is not being bought, it is being delivered at a structurally lower gross margin and a higher operating margin. Sustainable only while opex leverage keeps outrunning mix.

### Does the RPO decline signal demand weakness?

**Investor concern:** RPO fell sequentially for a second quarter and its growth halved from 42% to 30% while revenue accelerated.

**Management response:** Not addressed. Neither executive quote mentions RPO, and the release offers no bridge.

**Supporting evidence:** Genuinely ambiguous, and it should be held open. For benign: management has flagged "shortened contract durations" in both Q1 and Q2, which mechanically shrinks RPO; RPO peaks at the January year-end so H1 sequential declines are partly seasonal; NRR rose to 126% and net adds stayed positive. For concern: a 12-point deceleration in two quarters is faster than seasonality alone explains, and revenue accelerating into a shrinking backlog is arithmetically unsustainable beyond a few quarters. UNRESOLVED — the cRPO split in the pending 10-Q is the deciding evidence.

## Is the new SBC risk language a real signal or boilerplate?

**Investor concern:** Two new risk factors on SBC and GAAP profitability appeared six weeks after a 1,000,000-PSU CEO grant.

**Management response:** No commentary beyond the addition of the risk factors themselves.

**Supporting evidence:** The Q1 and Q2 risk enumerations are otherwise word-for-word identical, so these are deliberate additions rather than drift. But the timing is confounded: the 10-Q was not yet filed, and release risk lists often pre-position for updated 10-Q Risk Factors. Direction of travel is favorable — SBC fell from 38.1% to 29.5% of revenue YoY. Best read as management getting ahead of a known investor objection, not as evidence of deterioration. Verify against the 10-Q.

## SECTION 6A — GOVERNANCE ITEMS CHASED THIS QUARTER

Officer-change lead — resolved, and it is not an officer change. The July 2026 Item 5.02 filing (event July 15, filed July 16, accession 0001628280-26-048373) is a compensatory arrangement, not a departure or appointment. Item 5.02 covers both, which is the likely source of the confusion. Sridhar Ramaswamy remains CEO and Brian Robins remains CFO — he signs the filing. The substance is a CEO Performance Award of 1,000,000 PSUs in five tranches, with stock price targets of \$324, \$375, \$427, \$479 and \$531 measured as 90-day average closing prices, against a \$271.87 close on the grant date — so the first tranche requires a 19% gain and the last a 95% gain. Service conditions run to September 15, 2029 (tranches 1-2) and September 15, 2030 (tranches 3-5), conditioned on continued service as CEO, with a one-year delivery deferral and both misconduct and restatement clawbacks. The award is designed to add up to \$100 billion of stockholder value; press reports put the maximum value near \$448 million, which is not a filing disclosure. Investment consequence: this is a retention lock on the CEO through 2030 with genuinely demanding, entirely out-of-the-money hurdles — shareholder-aligned in structure. But it is an additional equity claim granted six weeks before the company named SBC reduction as a risk, and the grant-date fair value has not been disclosed.

A separate governance item worth carrying: the January 2026 Item 5.02 filing discloses that director Jeremy Burton resigned in connection with Snowflake's acquisition of Observe, Inc., where he was CEO. The transaction was approved by a special committee of independent and disinterested directors and by the Audit Committee — the appropriate process — but the consideration was never disclosed in an 8-K, and Observe is a material contributor to the \$444.6M of goodwill added in H1.

## SECTION 7 — CAPITAL ALLOCATION & PER-SHARE IMPACT

### Free cash flow per share

| Period        | Free cash flow | Wtd-avg shares | FCF / share | Change   |
|---------------|----------------|----------------|-------------|----------|
| Q2 FY2026     | \$58.2M        | 335.2M         | \$0.17      | -        |
| Q1 FY2027 (d) | \$232.8M       | 345.5M         | \$0.67      | -        |
| Q2 FY2027     | \$83.8M        | 349.3M         | \$0.24      | +38% YoY |
| H1 FY2026     | \$241.6M       | 334.0M         | \$0.72      | -        |
| H1 FY2027     | \$316.6M       | 347.4M         | \$0.91      | +26% YoY |

### Buybacks versus dilution

H1 FY2027 repurchases were \$300.0M, down 39% from \$490.6M in H1 FY2026. There were no repurchases in Q2 itself. Over the same six months, taxes paid on net share settlement of equity awards were \$327.7M — the company spent more settling employee equity obligations than buying stock back. GAAP weighted-average shares still rose from 335.2M to 349.3M, net dilution of 4.2% YoY, and FY2027 non-GAAP diluted share guidance was raised from 376M to 380M.

### What that means

The buyback is functioning as a partial dilution offset, not a per-share value-accretion program — and in H1 FY2027 it did not fully offset. Per-share free cash flow is growing (+26% H1 YoY) but meaningfully slower than total free cash flow (+31%) and revenue (+35%), and the gap is exactly the share creep.

### Capital allocation shift

Priorities moved from buybacks in FY2026 toward acquisitions in FY2027: \$254.4M of cash plus a material equity component went into Observe (closed February 2026) and Natoma. Goodwill rose \$444.6M and intangibles \$179.6M in H1 against that \$254.4M of cash — the difference implies stock was a significant part of the consideration. Interest income fell



from \$49.5M to \$42.0M YoY as cash was deployed.

### Balance sheet

Cash and investments total \$4.33B (\$1,707.2M cash, \$637.5M short-term, \$1,984.5M long-term) against \$2,284.0M of 0%-coupon convertible notes — roughly \$2.05B net cash. Liquidity is ample and is not a constraint on strategy.

### Compounding implication

For a long-term holder the arithmetic reduces to one question: do the acquired assets, and the equity issued to buy them, earn more than the roughly 4% annual dilution they cost? The CEO Performance Award adds a further 1,000,000-share claim on top. That question is not yet answerable from public disclosure, and it is the most important capital-allocation item to track.

→ *Per-share compounding is real but is being taxed about four points a year by dilution.*

## SECTION 8 — MONITORING CHECKLIST

| Category              | Items                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|-----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Five signals to track | <ul style="list-style-type: none"><li>• cRPO and total RPO in the Q2 FY2027 10-Q (expected ~September 8, 2026) and in the Q3 print — does RPO return to sequential growth?</li><li>• Non-GAAP product gross margin against the lowered 74.0% full-year guide — does AI mix cost stabilize or keep compressing?</li><li>• Whether the aggregate AI-accounts metric returns, and whether CoCo and CoWork are given a stated mapping to Cortex Code and Snowflake Intelligence.</li><li>• SBC dollars versus revenue growth — SBC grew 4.6% against 35% revenue growth; watch whether the CEO award and AI-talent competition break that spread.</li><li>• Net share count and buyback pace versus equity settlement taxes — is the buyback restored to at least offsetting dilution?</li></ul> |
| Key risks building    | <ul style="list-style-type: none"><li>• AI revenue mix structurally lowering gross margin — confirmed by the guidance cut, not just implied.</li><li>• Backlog growth decelerating far faster than revenue (RPO 42% to 30% while revenue went 30% to 37%).</li><li>• Equity-funded M&amp;A; plus the CEO award raising the per-share dilution hurdle.</li><li>• Two newly named risks: SBC as a percentage of revenue, and GAAP profitability.</li><li>• AI consumption now conceded by the company to be subject to optimization decay.</li></ul>                                                                                                                                                                                                                                           |
| Confirmation signals  | <ul style="list-style-type: none"><li>• RPO growth re-accelerating to at or above product revenue growth.</li><li>• Non-GAAP product gross margin holding at or above 74% while AI mix continues to rise.</li><li>• A first GAAP operating profit, or a credible dated path to one.</li><li>• AI revenue disclosed as a quantified figure rather than described qualitatively.</li><li>• Buyback resuming at a pace that holds the share count flat or falling.</li></ul>                                                                                                                                                                                                                                                                                                                    |
| Conviction tripwires  | <ul style="list-style-type: none"><li>• A third consecutive sequential RPO decline, or RPO growth falling below product revenue growth.</li><li>• FY2027 product revenue guidance cut, or Q3 landing below the \$1,588M low end.</li><li>• Non-GAAP product gross margin guided below 73%.</li><li>• Net revenue retention falling below 120%.</li><li>• SBC rising as a percentage of revenue for two consecutive quarters.</li><li>• Departure of Ramaswamy or Robins — the CEO award's service conditions run to September 2029 and 2030.</li></ul>                                                                                                                                                                                                                                       |

## SOURCES & VERIFICATION STATUS

### Documents read in full (primary sources only)

- Q2 FY2027 earnings release — 8-K Ex-99.1, filed 2026-09-02, acc. 0001640147-26-000033 (read in full)
- Q1 FY2027 earnings release — 8-K Ex-99.1, filed 2026-05-27, acc. 0001640147-26-000027 (read in full)
- Q4/FY2026 earnings release — 8-K Ex-99.1, filed 2026-02-25, acc. 0001628280-26-011631 (read in full)
- 8-K Item 5.02 CEO Performance Award — filed 2026-07-16, acc. 0001628280-26-048373 (read in full)
- 8-K Item 5.02 director resignation / Observe — filed 2026-02-02, acc. 0001628280-26-004606 (read in full)
- SEC EDGAR filing indexes for CIK 0001640147, 8-K and 10-K/10-Q lists (confirmed no Q2 FY2027 10-Q as of 2026-09-03)

- Grant-date closing price of \$271.87 on 2026-07-15 — third-party market data, NOT a filing disclosure

### Could not be verified in this session

- Consensus estimates — not retrieved. All "vs. consensus" comparisons are marked n/a.
- Earnings call transcript and prepared remarks for Q2 FY2027 — not available in the library and not retrieved. Narrative analysis rests on written releases only.
- Form 10-Q for the quarter ended July 31, 2026 — not filed as of 2026-09-03. No updated Risk Factors, cRPO split, segment detail, or purchase-price allocation.
- The mapping of Cortex Code to CoCo and Snowflake Intelligence to CoWork is inferred from product positioning and is NOT confirmed in any filing.
- Observe acquisition consideration — never disclosed in the 8-K; not located in this session.
- ASC 718 grant-date fair value of the CEO Performance Award — not disclosed; the ~\$448M figure is a press report, not a filing.
- The Q2 FY2026-to-Q2 FY2027 year-over-year risk-factor additions are carried from the prior session's extract and were not independently re-verified. The Q1-to-Q2 FY2027 diff WAS verified directly from both source documents.
- Q2 FY2026 net revenue retention and Forbes Global 2000 count — not retrieved, shown as n/r.